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Business Process Procedure Overview
Business Plan

Definition of terms

CBF	Core Business Field
CFx	Current Forecast
DC	DP relevant Distribution Center
DP	Demand Planning
FC	Forecast
IAM	Independent Aftermarket
MBR	Monthly Business Report
MOQ	Minimum Order Quantity
OES	Original Equipment Service
PH2	Product Hierarchy 2
SNP	Supply & Network Planning
S&OP	Sales and Operations Planning
TBP	Target Business Plan

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TPZ Technical Production Volume

VPZ Planned Sales Volume

GtM Go-to-Market

GtS Go-to-Source

OFTM One Face To the Market

OFTS One Face To the Supplier

1. Business Plan

In Bosch, the Business Plan is a structured planning framework that integrates long-term, mid-term, and short-term planning to align demand, supply, capacity, and distribution in order to achieve defined business targets.

It consolidates **TPZ/VPZ, TBP, and current forecasts** into a single aligned plan and serves as the basis for **Sales & Operations Planning (S&OP)**, capacity planning, inventory planning, and distribution execution.

1.1 Appendixes of Business Plan

The Business Plan is supported by the following appendixes, which provide detailed inputs and validation for planning and execution:

- **TPZ / VPZ** – Long-term production and sales volume planning

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- **TBP (Targeted Business Plan)** – One-year target-oriented business plan
- **Current Forecast (CF)** – Short-term and rolling demand forecast
- **Capacity Planning** – Production capacity alignment with demand
- **Supply Validation Outputs** – Net demand vs supply capability alignment
- **Distribution Planning** – Allocation of demand to distribution centers
- **Demand Validation Outputs** – Consensus demand plan aligned with GtM
- **Inventory Planning Inputs** – Stock level and optimization decisions
- **Consensus Forecast** – The approved demand forecast aligned between Demand Planning and Go-to-Market (GtM), used as the single input for supply, inventory, and distribution planning.

1.2 Planning Horizons:

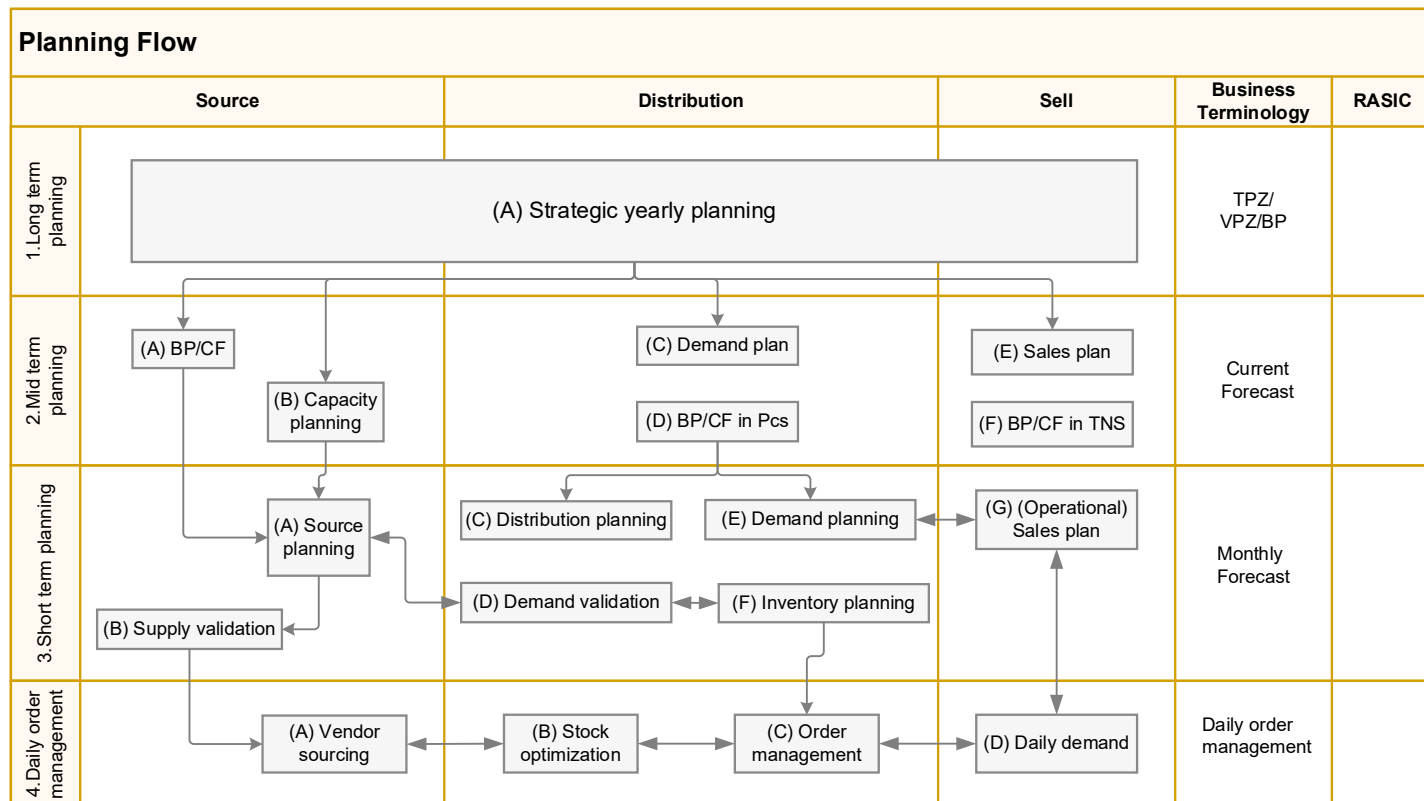
Planning in Bosch is structured across three levels to align strategic objectives, business targets, and operational execution:

- Long-term planning: Defines long-term sales and production volumes (VPZ / TPZ) and sets the volume framework for capacity and sourcing planning.
- Mid-term planning: Converts VPZ / TPZ into one-year targets and plans (TBP / CF) and aligns demand, capacity, and supply feasibility.
- Short-term planning: Executes the plan through monthly forecasting, demand validation, supply validation, inventory planning, and operational sales planning.

With integration of these three levels, In Bosch planning is done as per the below planning process flow.

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2. Process Flow



2.1 Long-term Planning:

In Bosch, long-term planning is termed as TPZ/VPZ.

- TPZ (Technical Production Volume): Long-term planned production quantities derived from VPZ, allocated to production locations, serving as the reference for capacity and supply planning.
- VPZ (Planned Sales Volume): Long-term market-driven planned sales quantities, defined at part number, customer, and country level, serving as the reference for sales and demand planning.

According to our business plan, the time scale for long term plan is one year.

2.2 Mid-term planning

2.2.A TBP (Targeted Business Plan):

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TBP is a **target-oriented planning approach** with a one-year time horizon, focused on achieving defined business targets.

- Targets are derived from competitive benchmarks and divisional context
- Planning is measure-driven to ensure target achievement
- Responsibility is cascaded to lower management levels
- Limited key figures are used for focused execution
- Less time- and resource-intensive compared to previous planning approaches

2.2.B Current forecasting:

Current forecasting defines the expected demand over the planning horizon and forms the basis for demand and supply alignment.

Planners use historical sales data, market inputs, and demand planning tools (Add*ONE) to generate a **consensus forecast**, which serves as the input for demand planning and downstream processes.

2.2.C Capacity planning:

Capacity planning ensures that production and supply capabilities are aligned with forecasted demand.

2.3 Short-term planning

Short-term planning focuses on monthly execution and operational alignment to ensure demand, supply, inventory, and sales plans are consistently aligned.

2.3.B Supply validation:

Supply validation aligns net demand with available supply capabilities through coordination with vendors and the Go-to-Source (GtS) team.

The validation includes:

- Review of actual performance (VBL, VSL)
- Comparison of forecasted net demand against TBP/CFxx and TPZ

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- Identification of early warning bottlenecks
- Readiness check for launches and events

2.3.C Distribution planning:

Distribution planning defines how demand is allocated across distribution centers in terms of quantity, location, and timing.

It considers demand trends, seasonality, and forecasted requirements and optimize ordering, transportation, and inventory holding costs.

2.3.D Demand validation:

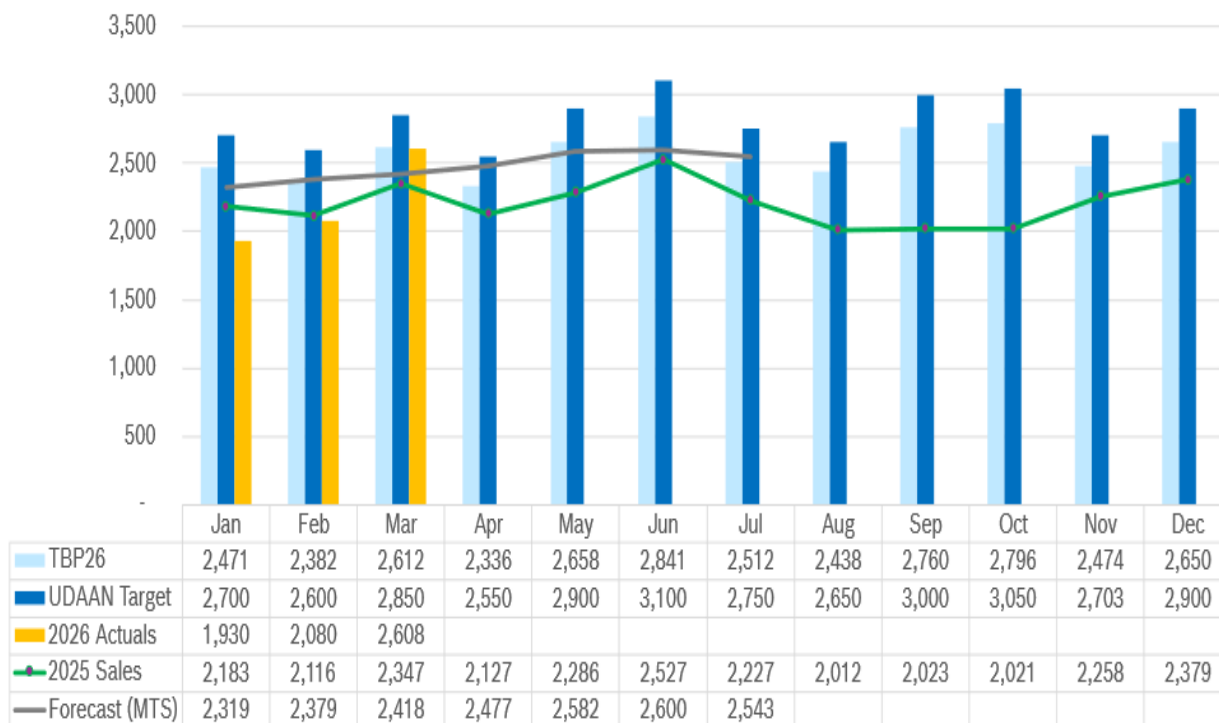
Demand validation aligns the bottom-up demand plan generated by planners with strategic sales targets.

A monthly validation meeting is conducted with GtM stakeholders (OFTM, Sales IAM/OES, SMS) to confirm the consensus demand plan.

Demand Validation for April'26



Prognosis vs Ach '26



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Demand Validation April 2026

Slide Purpose:

This slide validates monthly demand planning accuracy by comparing:

- ZM Prognosis
- Internal Targets
- Forecast MTS
- Actual Achievement
- Order Trends
- Sales Trends

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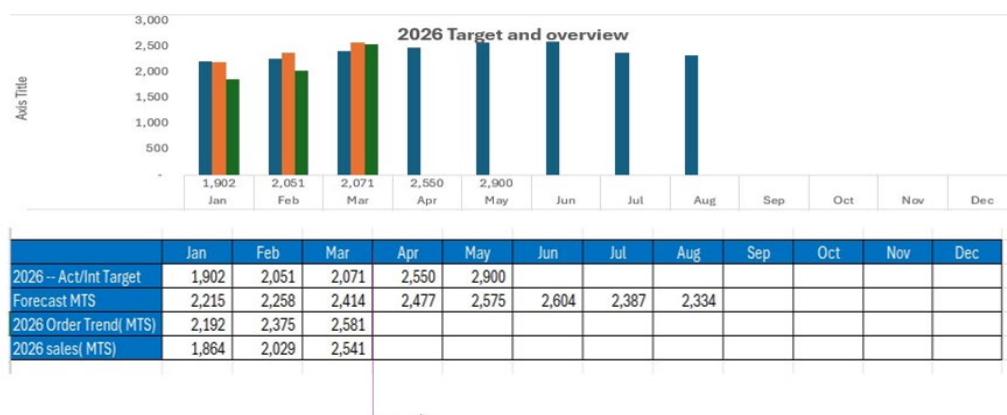
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The objective is to identify forecast deviations, demand spikes, regional growth patterns, and operational risks impacting supply chain planning.

Demand Validation for April'26

Prognosis vs Ach '26 -- Praveen



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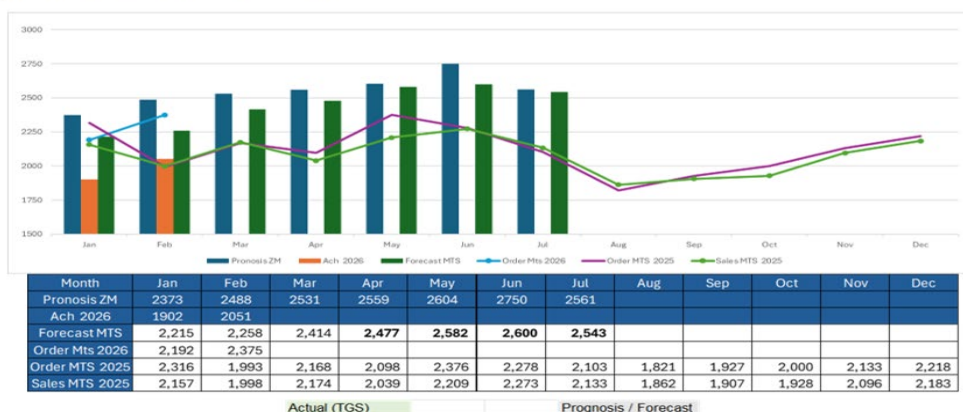
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Demand Validation for

Prognosis vs Ach '26 -- Praveen



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Demand Validation - Prognosis vs Achievement

Key Business Insights:

- ZM prognosis for M05'26 is lower than internal target by approximately 12%.

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- Forecast MTS indicates stable demand growth from M04 to M07.
- Actual achievement for Jan–Feb is lower than prognosis values.
- Order trend and sales trend indicate strong market demand continuation.
- West region shows highest projected growth contribution.

Operational Impact:

- Lower prognosis vs target may impact production planning alignment.
- High growth regions may face stock allocation pressure.
- Forecast deviations may increase Open Orders and reduce CSL performance.
- Supply planning must align inventory positioning with demand growth.

Key Terms:

- ZM Prognosis = Demand projection provided by Zonal Management
- Forecast MTS = Make-to-Stock forecast
- CSL = Customer Service Level
- SFA = Sales Forecast Accuracy

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Demand Validation 2026 - | Key Topics

2026 M04 Plan and 2026 overview

	(MTS Order trend -- VV, SP)		MTS Order trend 2026 ---VV, SP		Zonal FC (MTS -- VV, SP)				(MTS Order trend 2025 ---VV, SP)								
Row Labels	Last 3 Month avg Orders (MINR)	Last 3 Month avg Sale (MINR)	Jan'26 Orders (MINR)	Feb'26 Orders (MINR)	Mar'26 Orders (MINR)	May'26 FC (MINR)	Jun'26 FC (MINR)	Jul'26 FC (MINR)	Aug'26 FC (MINR)	Jan'25 Orders (MINR)	Feb'25 Orders (MINR)	Mar'25 Orders (MINR)	Apr'25 Orders (MINR)	May'25 Orders (MINR)	Jun'25 Orders (MINR)	Jul'25 Orders (MINR)	Aug'25 Orders (MINR)
CG-PAB	237	209	223	244	244	238	253	224	221	225	177	194	184	185	184	175	176
CG-PAE	146	117	153	142	155	135	145	131	127	141	110	145	129	146	159	141	123
CG-PAF	223	208	201	219	251	245	249	222	216	208	201	209	213	224	213	181	159
CG-PAP	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
CG-PAP (Horns)	6	5	6	6	4	5	6	5	5	9	6	6	6	7	6	4	5
CG-PAP (Lighting)	20	20	21	24	15	18	19	18	18	32	22	24	23	21	22	14	13
CG-PAP (Lubes)	581	520	468	496	779	605	621	591	585	509	464	456	474	582	592	507	411
CG-PAR	296	275	330	305	254	314	333	291	286	284	237	250	220	239	230	260	225
CG-PAS	161	147	143	196	146	161	170	154	153	212	170	165	147	171	173	161	152
MA/WS	52	49	34	45	77	217	147	121	104	36	35	54	99	216	101	82	52
TG-PAC	2	2	2	2	1	1	1	1	1	2	2	1	1	1	1	1	1
TG-PAD	614	558	600	685	657	626	649	617	606	648	563	655	594	573	586	568	494
TG-PAG	10	9	11	12	9	10	11	11	11	9	8	8	8	9	8	9	9
Grand Total	2,349	2,120	2,192	2,375	2,593	2,575	2,604	2,387	2,334	2,316	1,993	2,168	2,098	2,376	2,278	2,103	1,821

Diesel :

- DSL Nozzle demand will continue , 2% FC has increased compare to M03
- Tractor Seg parts will see a spike sply in north india region, (part set and Nozzles)
- Total 8Kd planed 39 mio , ...021 /24 K ..033 / 7.5K

Lubes :

- Overall – 3550 kl of Lubes for month of M05'26 – 4T 1989 KL, 642 KL Coolant (updated)
- Continue to have high offtake in Optima – 1500KL, & Coolant 619-680KL (917/918 -391KL)
- Direct Billing FTL Volume scheme has been removed from M04.
- Due Price Increase from M04, - So Impact peak orders for Old Rate batch will be seen
- price revision across our FC, CV, Greases and Coolants SKUs SKUs such as 4T and Gear Oil – unchanged.

Battery :

- Total battery FC 55,946 qty (2whl – 29,241 + Car – 17986 +Tractor- 8719, Invector –1042)
- High –INCA battery in 2W,

Filters :

- Tractor filter demand will high FC increased of 25 % against last year M05 , ...737/ 738/ 244/247 Fc has increased
- Cabin Filter FC increased , Total of 49 K – due to retailer Binding scheme M05-M06
- Air Filter FC increased as demand in increasing trend, hence levelled future FC. Part ... 579/ 584/588/ 591 are major parts

Braking :

- Brake Fluid – 371 kl are planned (RBIN 148 kl & RBIC will 222 KL)
- Brake Shoe FC increased with 75 K... 992 FC increased with 7.5 K (M04 + M05)
- Cutch Plate demand will increase , 3 WHL FC increased 11%
- TMC Fc increased , 565/ 7.5K; ..529 /1.3 k:...546 /3.4K
- CV liner demand will be stable
- Demand are increasing trend based on Market

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Demand Validation 2026 – Key Topics

Slide Purpose:

This slide summarizes major demand planning drivers and forecast changes across CBF categories, Diesel, Lubes, Filters, Batteries, and Braking products.

Key Business Insights:

Diesel

- DSL nozzle demand is expected to continue increasing.
- Tractor segment parts show high growth in North India.
- High demand expected for nozzle and part set categories.

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Lubes

- Overall lube demand remains high for M05'26.
- Coolant and Optima products continue showing strong market off-take.
- Price increase from M04 may create temporary peak ordering behavior.

Battery

- Total battery forecast is significantly increased.
- High-INCA battery demand is expected in two-wheeler segment.

Filters

- Tractor filter demand forecast increased by ~25%.
- Cabin filter forecast increased due to retailer binding schemes.
- Air filter demand trend remains positive.

Braking

- Brake fluid demand planned significantly higher.
- Shoe FC and TMC FC increased based on market trend.
- Demand growth visible across WHL and CV segments.

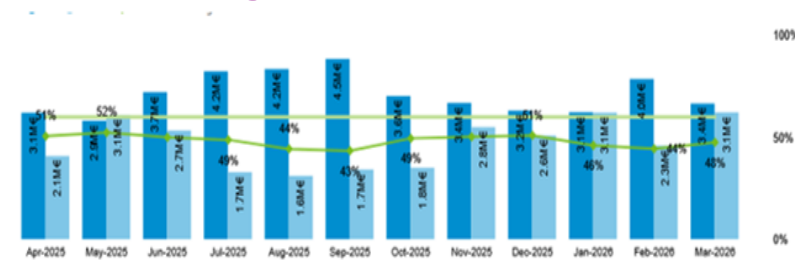
Operational Impact

- Increased forecast may create supply constraints if inventory is insufficient.
- Diesel and Lubes require close forecast validation and vendor planning.
- Battery growth may increase warehouse occupancy and safety stock requirements.
- Filters and braking demand spikes require proactive procurement planning.

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Demand Validation - '26

SFA accuracy



CMF Description	SFA YTD	SFA MTD	UP YTD EUR	T/O Share %
MA-CG-FWP - Portfolio Goods	34%	40%	€ 1,864K	23.05%
MA-TG-FND - Diesel Systems	40%	47%	€ 1,733K	20.13%
MA-CG-FAR - Rotating Machines	50%	53%	€ 1,270K	14.76%
MA-CG-FNB - Brake Components	45%	47%	€ 1,195K	13.89%
MA-CG-FNF - Filter	57%	63%	€ 870K	9.41%
MA-CG-FNS - Spark Plugs	49%	49%	€ 679K	7.88%
MA-CG-FBE - Battery	54%	53%	€ 540K	6.28%
MA-WS-FWN - Wiper Systems	38%	36%	€ 353K	4.11%
MA-TG-FAG - Gasoline Systems	44%	39%	€ 44K	0.52%
MA-TG-FRV	3%	7%	€ 1K	0.01%
MA-TG-ATR - Automotive Tradition	42%	3%	€ 0K	0.00%
MA-AS-FAD - Electronic Service	13%	0%		
MA-AS-FAT - Specialty Tools and Equipment	N/A	N/A		

- SFA in Mar'26 @ 48% (-4%) @ Global level for all MTS parts. Target for SFA 55%
- Lubes were majorly impacted 42% SFA –
 - Geo Political reason & Price Increase – Spike seen in M03
 - SFA calculation for Direct billing on Lag4'26 post introduction of W094 WH.
- Diesel - Peak Demand seen due to DSLA shortages and bottleneck - hence part Sets and DSLA nozzle has high CO's
- Wipers – Dip in demand and high Interplant billing due to space optimization

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SFA Accuracy – Demand Validation 2026

Slide Purpose:

This slide evaluates Sales Forecast Accuracy (SFA) performance across business categories and identifies key reasons for forecast deviations.

Key Business Insights:

- Global SFA for MTS parts in Mar'26 is approximately 48%.
- Target SFA level is 55%.
- Lubes category experienced major forecast impact due to geopolitical issues and price revisions.
- Diesel category demand increased because of DSLA shortages and bottlenecks.

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- Wiper systems experienced demand reduction and high interplant billing impact.

Operational Risks:

- Low SFA reduces planning reliability.
- Forecast inaccuracy increases excess stock and open order risks.
- Demand spikes may negatively impact CSL performance.
- Inaccurate forecasting may increase NWC pressure.

Operational Actions

- Review forecast assumptions for volatile categories.
- Improve coordination between Sales, Planning, and Supply teams.
- Monitor high-variance categories more frequently.
- Validate demand spikes before procurement execution.

Demand Validation April'26

ZM Prognosis vs Internal target

	May'26
Int Target	2,900
ZM Prognosis	2,598
Diff. Tgt. Agst. ZM prognosis	12%

Region wise 2025 Ach. Vs 2026 Prognosis ---- M05 & M06

Region	May'25 Achievement	May'26 Prognosis	% Growth	Jun'25 Achievement	Jun'26 Prognosis	% Growth
East	387	413	7%	395	434	10%
North	533	549	3%	585	600	2%
South	526	616	17%	552	645	17%
West	826	1,020	24%	983	1,110	13%
Grand Total	2,272	2,598	14%	2,515	2,789	11%

2025 CBF wise Ach. Vs 2026 Prognosis ---- M05

Pan India CBF wise MOM Prognosis vs Achv.			MOM CBF wise growth
Row Labels	May'25 Achievement	May'26 Prognosis	May'26 Growth
Batteries	150	169	20%
Braking Systems	187	231	23%
Comfort	2	3	71%
Diesel System with Glow Plug	613	663	8%
Filtration	219	251	15%
Gasoline	9	12	34%
Horns	7	7	-3%
Lighting Technology	25	42	68%
Lubes	541	573	6%
Others (inclusive of steering parts)	13	5	-58%
Rotating Machines	230	304	32%
Spark Plug	159	179	13%
Wiping Systems	137	156	16%
Grand Total	2,272	2,598	14%

Key Highlights

- Prognosis received from ZM is 12 % lower than Internal target of M05
- M05'26 prognosis given with growth of 14 % against M05'25
- West prognosis received of 24% growth in M05 against 2025 M05 with 39% in Mumbai zone
- Amongst major CBF higher prognosis received in RM with growth of 32% in M05

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Demand Validation - Regional and CBF Analysis

Slide Purpose:

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This slide compares 2025 achievements against 2026 prognosis across regions and CBF categories.

Key Business Insights:

- West region shows highest forecast growth (~24%).
- Mumbai zone contributes major share of West region growth.
- RM category shows significant prognosis increase.
- Total prognosis growth vs previous year is approximately 14%.

Category Trends

- Batteries, Rotating Machines, and Lighting Technology show strong growth.
- Lubes and Diesel continue stable positive demand.
- Certain categories show low or negative growth requiring monitoring.

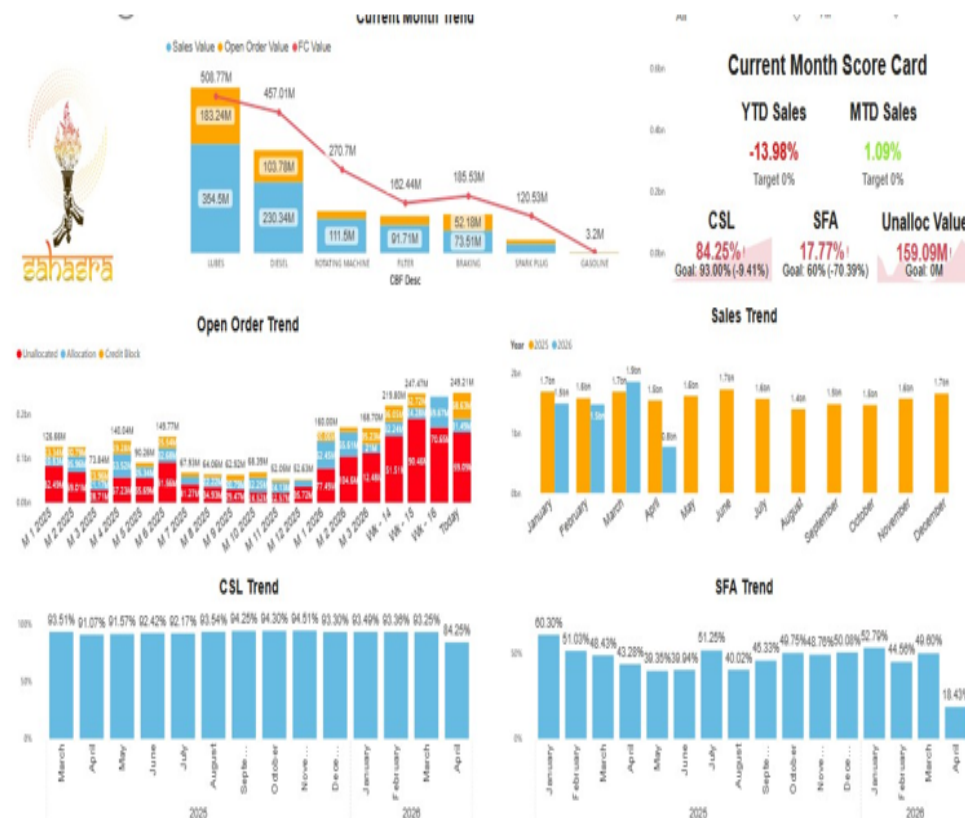
Operational Impact

- Regional imbalance may create stock redistribution requirements.
- High-growth zones require inventory prioritization.
- Forecast growth impacts warehouse capacity and transportation planning.

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Demand Validation April'26

Project SAHASRA



- **CSL1:**
 - 93% -- stable from M01
 - Braking has been impacted majority (M01 85%, M02 87% M03 85% CSL) with major impact in *ChkP* which are impacted due to supplier delays
 - Lubes also has CSL also score less than 90% with (M01 60% M02 55% M03 88%) due to price revision
- **Open Orders**
 - Total Open Orders of 44 Mio (+26 Mio vs M2'26) of which Unallocated 27 Mio
- **SFA:**
 - 49% (+10% vs M02).with filter 57% Lubes 52% & Diesel 49% amongst highest. RM 44% lowest
 - Major Improvements seen region west with +34% vs M02

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Project SAHASRA – Demand Validation April 2026

Slide Purpose:

This slide monitors operational KPIs under Project SAHASRA including:

- CSL
- SFA

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- Open Orders
- Unallocated Orders
- Sales Trends

Key Business Insights

- CSL performance remains below target levels.
- Braking category impacted due to supplier delays.
- Lubes category affected by price revisions.
- Open Orders significantly increased compared to previous month.
- Unallocated orders contribute major operational risk.
- West region shows improvement in SFA performance.

Operational Risks

- Supplier bottlenecks may reduce service levels further.
- High open orders may increase customer dissatisfaction.
- Unallocated demand indicates planning and allocation mismatch.
- Low SFA impacts demand planning reliability.

Operational Actions

- Improve supplier follow-up for critical categories.
- Reduce unallocated order backlog.
- Increase allocation monitoring for high-demand regions.
- Strengthen forecast validation process.

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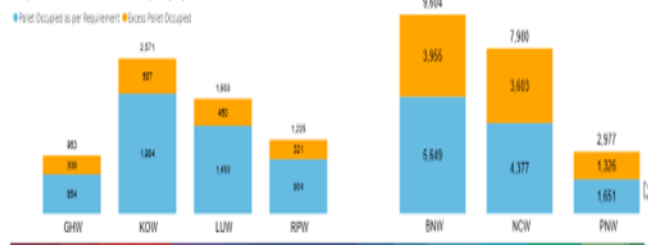
High pallet position

Pan India Sahara non Sahara summary of High pallet stock			
Sahara	Pallet Occupied	Excess Pallet Occupied	Count of Excess Stock
No	12,865	7,375	137,519
Yes	14,271	3,123	5,112
Grand Total	27,136	10,498	142,631

Pan India CBF wise summary of High pallet stock			
CBF	Pallet Occupied	Excess Pallet Occupied	Count of Excess Stock
TG-PAD	8,097	3,973	92,957
CG-PAR	3,603	1,244	24,712
CG-PAF	6,424	1,605	6,267
CG-PAP	475	112	5,509
TG-PAG	221	153	4,655
CG-PAB	3,794	1,527	4,152
CG-PAS	733	316	1,677
CG-PAP (Lubes)	2,592	1,003	1,070
MA/WS	962	498	1,064
CG-PAE	235	67	568
Grand Total	27,136	10,498	142,631

CBF	Material	Materials Descp.	Forecast	Safety Stock	Sales	Stock	Excess Stock	Last Month Avg Sale (Ex. Current Month)	Excess pallet reserved	Open Order
CG-PAB	F002H000308F	Set of brake pads	10,822	13,099	4,200	36,691	14,168	15942	32	1,512
CG-PAB	F002H000308F	Set of brake pads	9,129	7,804	1,850	24,555	14,327	8552	27	440
CG-PAB	F002H000328F	Set of brake pads	4,795	3,431	650	14,127	6,364	3798	17	305
CG-PAB	0986A044108F	Set of brake pads	7,700	7,280	1,509	21,903	8,395	7474	14	560
CG-PAB	0986A044108F	Set of brake pads	1,559	1,365	365	5,292	2,900	1160	15	104
CG-PAB	F002H216808F	Clutch Plate	4,532	12,009	3,510	28,598	14,333	4813	14	1,560
CG-PAB	F002H236508F	Set of brake pads	5,910	4,470	2,173	15,012	8,142	5325	14	282
CG-PAB	F002H260518F	Set of brake pads	294	515	243	5,905	5,220	631	14	57
CG-PAB	F002H261638F	Set of brake pads	173	143	61	2,609	2,351	172	12	3
CG-PAB	F002H236818F	Brake Shoe	6,156	4,787	1,778	11,189	4,916	4690	15	780
TG-PAD	0250212904079	Glow Plug	4,750	5,182	1,170	15,672	6,330	7020	14	130
TG-PAD	9430034220079	Hole-Type Nozzle	190	555	141	1,332	683	370	10	13
TG-PAD	9430034285079	Hole-Type Nozzle	610	703	378	1,817	774	556	11	1
TG-PAD	9411037021079	Service kit	2,082	5,335	523	7,150	1,527	1491	11	20
TG-PAD	9433172780079	Hole-Type Nozzle	52	89	10	2,370	2,239	113	8	-
TG-PAD	944103700044A	Service kit	10,876	11,994	5,149	28,059	10,497	9639	12	282
TG-PAD	246741302544R	Overflow Valve	147	216	46	1,194	855	112	9	6
TG-PAD	943003222744R	Nozzle And Holder Assy	487	520	150	1,655	719	459	7	-
Grand Total			141,156	168,588	94,006	408,314	227,823	121210	279	8,925

Required vs Excess Pallet Occupancy by Plant



- Excess pallet share: 39% of total occupied pallets
- Sahara vs Non-Sahara
- Non-Sahara locations contribute the majority of excess stock:
137,519 units vs 5,112 units in Sahara
- Excess pallets in Non-Sahara: **7,375** (70% of total excess pallets)
- TG-PAD: 3,973 excess pallets (*largest contributor – 38% of total excess*)
- Support required**
 - Review slow-moving / overstocked parts causing repeated pallet blockage
 - Need to check schedule given to vendor in past three month & future schedules
 - After M04 closing stock to be monitor of this excess stock – inward. & restrict dispatches

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High Pallet Position - Excess Stock Monitoring

Slide Purpose:

This slide analyzes excess pallet occupancy and overstock conditions across plants and CBF categories.

Key Business Insights:

- Excess pallet share is approximately 39% of total occupied pallets.
- Non-Sahara locations contribute majority of excess stock.
- TG-PAD category is the largest contributor to excess pallets.
- Significant excess stock exists in slow-moving inventory.

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Operational Risks:

- Excess pallet occupancy reduces warehouse efficiency.
- Overstock increases Net Working Capital impact.
- Slow-moving inventory blocks warehouse capacity.
- High stock levels may increase obsolescence risk.

Operational Actions:

- Review slow-moving and overstocked materials.
- Validate vendor schedules for excess inventory items.
- Restrict unnecessary inward movements after month closing.
- Monitor excess stock regularly to avoid warehouse blockage.

Key Terms:

- Excess Stock = Inventory exceeding demand or covering requirements
- Pallet Occupancy = Warehouse pallet space utilization
- Open Order = Customer demand not yet fulfilled
- NWC = Net Working Capital

IMPORTANT QUESTIONS AND ANSWERS: -

HIGH PRIORITY QUESTIONS TO ADD

1. What is the purpose of Demand Validation?

Answer:

Demand Validation is the process of comparing:

- ZM Prognosis
- Internal Targets
- Forecast MTS
- Actual Sales/Achievement

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- Order Trends

to validate forecast accuracy, identify demand deviations, and support inventory and supply planning decisions.

The objective is to:

- Improve forecast reliability
- Reduce excess inventory
- Prevent stock shortages
- Improve CSL and SFA
- Minimize NWC impact

2. What is ZM Prognosis?

Answer:

ZM Prognosis refers to the sales and demand forecast provided by Zonal Management (ZM) for future planning periods.

It is used for:

- Demand planning
- Procurement planning
- Inventory positioning
- Production alignment
- Supply chain forecasting

ZM prognosis is compared against:

- Internal targets
 - Actual achievement
 - Forecast MTS
- to validate forecast accuracy.

3. What is Forecast MTS?

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Answer:

Forecast MTS (Make-to-Stock Forecast) is the projected inventory demand planned for stocked materials based on historical sales trends, market expectations, and business planning inputs.

It helps:

- Maintain inventory availability
- Improve customer service levels
- Support production planning
- Reduce stock shortages

4. What is SFA?

Answer:

SFA stands for Sales Forecast Accuracy.

It measures how closely actual sales match the forecasted sales.

Formula:

$SFA = (\text{Forecast Accuracy against Actual Sales})$

Higher SFA indicates:

- Better demand planning
- Better inventory control
- Lower excess stock risk
- Improved supply chain efficiency

Low SFA may result in:

- Overstocking
- Stock shortages
- Increased NWC
- Poor CSL performance

5. What is CSL?

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Answer:

CSL stands for Customer Service Level.

It measures the percentage of customer demand fulfilled successfully within the expected timeline.

High CSL indicates:

- Better material availability
- Strong supply chain performance
- Better customer satisfaction

Low CSL may occur due to:

- Supplier delays
- Stock shortages
- Allocation issues
- Forecast inaccuracies
- High open orders

6. What is Open Orders?

Answer:

Open Orders are customer orders that are created but not yet fulfilled or dispatched.

High open orders may indicate:

- Material shortages
- Supply constraints
- Allocation mismatch
- Vendor delays
- Planning issues

High open order volume negatively impacts:

- CSL
- Customer satisfaction
- Supply chain efficiency

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7. What are Unallocated Orders?

Answer:

Unallocated Orders are customer orders for which inventory has not yet been assigned.

Reasons may include:

- Insufficient stock
- Forecast mismatch
- Supply delays
- Inventory allocation issues

High unallocated orders increase operational risk and reduce service performance.

8. Why is low SFA a business risk?

Answer:

Low SFA creates supply chain instability because forecasted demand does not match actual market demand.

Business impacts include:

- Excess inventory
- Stock shortages
- Higher NWC
- Poor inventory turnover
- Increased warehouse occupancy
- Reduced CSL

9. Why does excess pallet occupancy create operational problems?

Answer:

Excess pallet occupancy reduces warehouse efficiency and increases storage congestion.

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Operational impacts include:

- Blocked warehouse movement
- Higher inventory holding cost
- Reduced storage availability
- Increased NWC impact
- Difficulty handling inbound materials

10. What causes excess stock?

Answer:

Excess stock may occur due to:

- Forecast inaccuracies
- Low sales movement
- High procurement
- Demand reduction
- Supply planning mismatch
- Overstocking

Excess stock increases:

- NWC
- Warehouse occupancy
- Obsolescence risk

11. Which regions showed highest growth in the demand validation report?

Answer:

The West region showed the highest forecast growth in the demand validation report, with strong contribution from the Mumbai zone.

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12. Which categories showed strong forecast growth?

Answer:

The demand validation report showed strong growth in:

- Batteries
- Rotating Machines
- Lighting Technology
- Diesel Systems
- Filters
- Braking products

13. Why were Lubes impacted in SFA performance?

Answer:

Lubes category was impacted due to:

- Geopolitical reasons
- Price revisions
- Demand spikes caused by pricing changes

These factors reduced forecast accuracy and affected SFA performance.

14. Why did Diesel demand increase?

Answer:

Diesel demand increased due to:

- DSLA shortages
- Market demand growth
- Bottlenecks
- Increased requirement for nozzle and part set categories

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15. What is the operational goal of demand validation?

Answer:

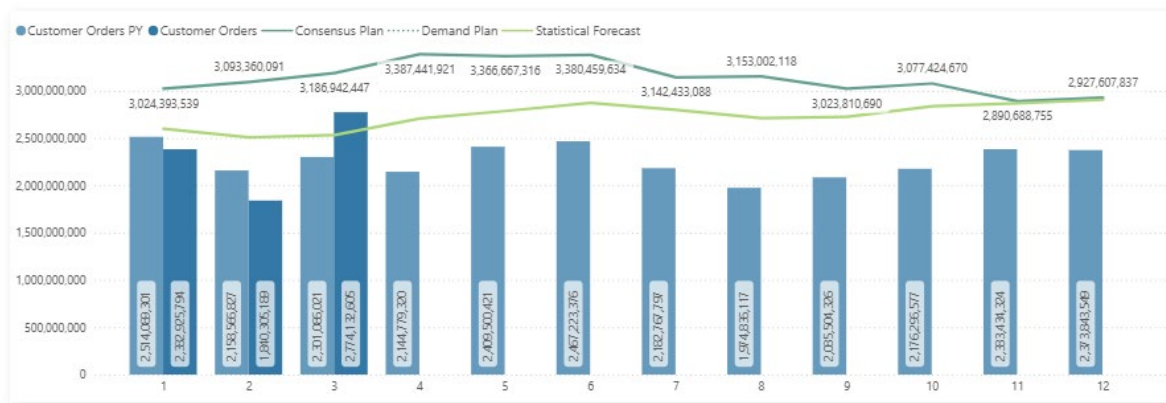
The operational goal of demand validation is to:

- Improve forecast reliability
- Align inventory with market demand
- Reduce excess stock
- Improve CSL and SFA
- Minimize NWC impact
- Support efficient supply chain planning

2.3.E Demand planning:

Demand planning focuses on creating and improving the system-generated forecast by correcting demand history, maintaining parameters, and selecting appropriate forecast models using demand planning systems.

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2.3.F Inventory planning:

Inventory planning determines optimal stock levels to support demand fulfillment while aligning with production and sales capacity.

It directly impacts service levels, supply chain efficiency, and working capital.

2.3.G Operational Sales plan:

The operational sales plan integrates demand, supply, inventory, and distribution plans into a single executable plan to support short-term business execution.

2.4 Daily order management:

Daily order management covers the end-to-end handling of customer orders, from order entry to delivery fulfillment.

It ensures accurate order capture, timely processing, and on-time delivery using standard systems (SAP), enabling consistent execution in line with customer requirements.

2.4.A Vendor sourcing:

Vendor sourcing ensures the availability of materials by selecting and managing suppliers based on cost, quality, reliability, and supply continuity.

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It supports stable supply chain operations and timely order fulfillment.

2.4.B Stock optimization:

Stock optimization defines optimal inventory levels to balance service availability and working capital.

It accounts for demand and supply variability to ensure timely fulfillment while minimizing excess and obsolete inventory.

IMPORTANT QUESTIONS NAD ANSWERS: -

1. What is a Business Plan in Bosch?

Answer: In Bosch, the Business Plan is a structured planning framework that integrates long-term, mid-term, and short-term planning to align demand, supply, capacity, and distribution in order to achieve defined business targets.

The Business Plan consolidates:

- TPZ / VPZ
- TBP
- Current Forecasts

into a single aligned planning framework.

It serves as the foundation for:

- Sales & Operations Planning (S&OP)
- Capacity Planning
- Inventory Planning
- Distribution Execution

The objective is to ensure business alignment between:

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- Demand
- Supply
- Inventory
- Production Capacity
- Distribution
- Sales Execution

2. What are the appendixes of the Business Plan?

Answer: The Business Plan is supported by multiple planning appendixes that provide inputs, validation, and operational execution support.

Appendix	Purpose
TPZ / VPZ	Long-term production and sales volume planning
TBP	One-year target-oriented business plan
Current Forecast (CF)	Rolling short-term demand forecast
Capacity Planning	Align production capability with demand
Supply Validation Outputs	Align net demand with supply capability
Distribution Planning	Allocate demand across DCs
Demand Validation Outputs	Align consensus demand with GtM
Inventory Planning Inputs	Optimize stock levels
Consensus Forecast	Approved forecast used for supply, inventory, and distribution planning

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3. What is TPZ?

Answer: TPZ stands for Technical Production Volume.

TPZ represents long-term planned production quantities derived from VPZ.

Key characteristics:

- Allocated to production locations
- Used as the reference for capacity planning
- Used as the reference for supply planning
- Part of long-term planning
- Planning horizon: one year

TPZ ensures production capabilities are aligned with expected business demand.

4. What is VPZ?

Answer: VPZ stands for Planned Sales Volume.

VPZ represents long-term market-driven planned sales quantities.

VPZ is defined at:

- Part number level
- Customer level
- Country level

VPZ acts as the reference for:

- Sales planning
- Demand planning

VPZ is one of the key foundations for long-term business planning.

5. Difference between TPZ and VPZ

Answer:

Aspect	TPZ	VPZ
Full Form	Technical Production Volume	Planned Sales Volume

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Focus	Production planning	Sales planning
Driven By	VPZ	Market demand
Purpose	Capacity and supply planning	Sales and demand planning
Level	Production location level	Part/customer/country level
Planning Horizon	Long-term	Long-term

Summary:

- VPZ defines expected sales demand.
- TPZ converts that demand into production quantities.

6. What is TBP?

Answer: TBP stands for Targeted Business Plan.

TBP is a target-oriented planning approach with a one-year planning horizon focused on achieving defined business targets.

Key characteristics:

- Targets derived from competitive benchmarks
- Planning is measure-driven
- Responsibility cascaded to lower management levels
- Limited key figures used for focused execution
- Less time and resource intensive than previous approaches

TBP converts long-term VPZ/TPZ planning into operational one-year targets.

7. What is Current Forecast (CF)?

Answer: Current Forecast defines expected demand over the planning horizon.

It forms the basis for:

- Demand alignment
- Supply alignment

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- Inventory planning
- Distribution planning

Planners use:

- Historical sales data
- Market inputs
- Add*ONE demand planning system

to generate a consensus forecast.

The consensus forecast becomes the operational input for downstream planning processes.

8. What is Consensus Forecast?

Answer: Consensus Forecast is the approved demand forecast aligned between:

- Demand Planning
- Go-to-Market (GtM)

It acts as the single planning input for:

- Supply Planning
- Inventory Planning
- Distribution Planning

The objective is to ensure all business functions operate using one aligned forecast.

9. What are the planning horizons in Bosch?

Answer: Bosch planning is structured across three planning horizons:

Planning Horizon Purpose

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Long-term Planning Defines VPZ/TPZ and strategic volume framework

Mid-term Planning Converts VPZ/TPZ into TBP and CF

Short-term Planning Executes operational planning activities

The planning structure ensures strategic goals are converted into executable operational plans.

10. What happens in long-term planning?

Answer: Long-term planning defines:

- Long-term sales volumes (VPZ)
- Long-term production volumes (TPZ)

Objectives:

- Capacity framework creation
- Supply planning alignment
- Strategic sourcing planning
- Production alignment

Long-term planning provides the volume baseline for all downstream planning activities.

11. What happens in mid-term planning?

Answer: Mid-term planning converts:

- VPZ
- TPZ

into:

- TBP
- Current Forecasts

Key objectives:

- Align demand with capacity
- Validate supply feasibility
- Translate strategy into executable yearly plans

Major components:

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- TBP
- Current Forecast
- Capacity Planning

12. What happens in short-term planning?

Answer: Short-term planning focuses on operational monthly execution.

It ensures alignment between:

- Demand
- Supply
- Inventory
- Sales plans

Main activities:

- Supply Validation
- Demand Validation
- Demand Planning
- Inventory Planning
- Distribution Planning
- Operational Sales Planning

13. How are TPZ, TBP, Current Forecast, Demand Planning, Supply Validation, Inventory Planning, and Operational Sales Planning connected?

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Answer: The Bosch planning process follows a sequential integrated flow:

1. VPZ defines expected market sales volumes
2. TPZ converts VPZ into production quantities
3. TBP converts long-term planning into one-year targets
4. Current Forecast defines rolling expected demand
5. Demand Planning improves and validates forecast quality
6. Supply Validation checks whether supply capability can meet forecasted demand
7. Inventory Planning determines optimal stock levels
8. Distribution Planning allocates inventory across distribution centers
9. Operational Sales Planning integrates all plans into executable business operations

The objective is to create one aligned end-to-end planning framework from strategy to execution.

14. What is Capacity Planning?

Answer: Capacity Planning ensures production and supply capabilities are aligned with forecasted demand.

Its primary purpose is to:

- Preventing shortages
- Prevent over-capacity
- Aligning manufacturing capability with business targets

Capacity planning acts as the bridge between demand forecasts and operational production capability.

15. What is Supply Validation?

Answer: Supply Validation aligns:

- Net demand with

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- Available supply capabilities

It is performed through coordination with:

- Vendors
- Go-to-Source (GtS) team

Validation activities include:

- Review of actual performance (VBL, VSL)
- Comparison of forecasted demand against TBP/CFxx and TPZ
- Identification of early warning bottlenecks
- Readiness checks for launches and events

16. How does Supply Validation interact with Vendor Sourcing?

Answer: Supply Validation identifies whether current supply capability can meet demand.

If gaps or bottlenecks are identified:

- Vendor sourcing activities become critical
- Suppliers are evaluated for continuity and availability
- Supply risks are escalated and addressed

Vendor Sourcing supports:

- Stable supply chain operations
- Timely order fulfillment
- Material availability

Supply Validation therefore acts as the operational trigger for sourcing alignment.

17. What is Distribution Planning?

Answer: Distribution Planning defines how demand is allocated across distribution centers.

It determines:

- Quantity allocation
- Location allocation

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- Timing allocation

Distribution Planning considers:

- Demand trends
- Seasonality
- Forecast requirements

Objectives:

- Optimize ordering
- Optimize transportation
- Optimize inventory holding cost

18. What is Demand Validation?

Answer: Demand Validation aligns:

- Bottom-up demand plans generated by planners with
- Strategic sales targets

A monthly validation meeting is conducted with GtM stakeholders:

- OFTM
- Sales IAM/OES
- SMS

The goal is to confirm the consensus demand plan.

19. What is Demand Planning?

Answer: Demand Planning focuses on improving system-generated forecasts.

Activities include:

- Correcting demand history
- Maintaining planning parameters
- Selecting forecast models

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- Improving forecast quality

Demand Planning uses demand planning systems such as:

- Add*ONE

The output becomes the operational forecast used for downstream planning.

20. What is Inventory Planning?

Answer: Inventory Planning determines optimal stock levels to support demand fulfillment while aligning with:

- Production capacity
- Sales capacity

Inventory Planning directly impacts:

- Service levels
- Supply chain efficiency
- Working capital

The goal is to maintain sufficient stock while minimizing excess inventory.

21. How does Inventory Planning impact Working Capital?

Answer: Inventory directly affects working capital because stock represents tied business capital.

Proper Inventory Planning:

- Reduces excess inventory
- Minimizes obsolete stock
- Improves inventory efficiency
- Optimizes stock holding

Poor inventory planning increases:

- Excess stock
- Inventory holding cost
- Working capital burden

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Stock optimization therefore becomes critical for financial efficiency.

22. What is Operational Sales Planning?

Answer: Operational Sales Planning integrates:

- Demand plans
- Supply plans
- Inventory plans
- Distribution plans

into a single executable operational plan.

Its objective is to support short-term business execution.

Operational Sales Planning ensures all planning functions operate in alignment.

23. What is Daily Order Management?

Answer: Daily Order Management covers end-to-end customer order handling.

It includes:

- Order entry
- Order processing
- Delivery fulfillment

The process uses SAP systems to ensure:

- Accurate order capture
- Timely processing
- On-time delivery

The objective is consistent execution aligned with customer requirements.

24. What is Vendor Sourcing?

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Answer: Vendor Sourcing ensures material availability through supplier selection and supplier management.

Supplier evaluation is based on:

- Cost
- Quality
- Reliability
- Supply continuity

Vendor sourcing supports:

- Stable supply chain operations
- Timely order fulfillment
- Supply continuity

25. What is Stock Optimization?

Answer: Stock Optimization defines optimal inventory levels to balance:

- Service availability
- Working capital

It considers:

- Demand variability
- Supply variability

Objectives:

- Ensure timely fulfillment
- Minimize excess inventory
- Minimize obsolete inventory

26. What is OFTM?

Answer: OFTM stands for One Face To the Market.

OFTM participates in:

- Demand Validation
- Consensus demand alignment

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- Sales target alignment

OFTM acts as a key Go-to-Market stakeholder.

27. What is OFTS?

Answer: OFTS stands for One Face To the Supplier.

OFTS supports supplier-side coordination and sourcing alignment activities.

28. What is GtM?

Answer: GtM stands for Go-to-Market.

GtM stakeholders participate in:

- Demand Validation
- Consensus Forecast alignment
- Sales target discussions

GtM alignment ensures forecasts match business market expectations.

29. What is GtS?

Answer: GtS stands for Go-to-Source.

GtS participates in:

- Supply Validation
- Supplier coordination
- Supply capability alignment

The objective is to ensure supply feasibility against forecasted demand.

30. What systems are used in Business Planning?

Answer: The Business Plan document explicitly references:

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System Usage

Add*ONE Demand planning and forecast generation

SAP Daily order management and execution

Add*ONE is used for:

- Forecast generation
- Demand planning
- Consensus forecasting

SAP is used for:

- Order processing
- Delivery execution
- Operational execution

31. How does Demand Planning affect Inventory Planning?

Answer: Demand Planning generates the forecast used as the basis for inventory decisions.

If demand forecasts increase:

- Inventory requirements increase

If forecasts decrease:

- Inventory targets reduce

Inventory Planning therefore depends heavily on forecast accuracy.

Incorrect demand planning can lead to:

- Excess inventory
- Stock shortages
- Increased working capital
- Poor service levels

32. How does Distribution Planning support Inventory Planning?

Answer: Distribution Planning allocates inventory across distribution centers based on:

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- Demand trends
- Forecasts
- Timing requirements

This ensures inventory is available:

- At the correct location
- In the correct quantity
- At the correct time

Distribution Planning therefore supports inventory optimization and fulfillment efficiency.

33. Why is Inventory Planning important?

Answer: Inventory Planning is important because it directly impacts:

- Service levels
- Supply chain efficiency
- Working capital

Proper inventory planning ensures:

- Product availability
- Reduced excess stock
- Reduced obsolete stock
- Improved operational efficiency

34. Why is Stock Optimization important?

Answer: Stock Optimization balances:

- Service availability
- Working capital

It minimizes:

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- Excess inventory
- Obsolete inventory
- Inventory holding costs

while maintaining sufficient stock to support demand fulfillment.

35. Why is Supply Validation important?

Answer: Supply Validation is important because it ensures forecasted demand can actually be fulfilled.

It helps identify:

- Supply gaps
- Capacity bottlenecks
- Launch risks
- Supply continuity risks

This prevents operational disruptions and supply failures.

36. Why is Demand Validation important?

Answer: Demand Validation ensures:

- Planner forecasts
- Strategic sales targets
- Market expectations

are aligned into one consensus demand plan.

Without demand validation:

- Forecast misalignment increases
- Inventory risks increase
- Supply planning accuracy decreases

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37. Why does Bosch use Consensus Forecasting?

Answer: Consensus Forecasting creates one approved forecast shared across:

- Demand Planning
- Supply Planning
- Inventory Planning
- Distribution Planning

This ensures all business functions operate using the same planning baseline.
The objective is alignment, consistency, and operational stability.

38. How does Daily Order Management connect to Stock Optimization?

Answer: Daily Order Management executes customer fulfillment activities.

Stock Optimization ensures sufficient inventory exists to support these orders.

Together they ensure:

- Product availability
- Timely delivery
- Controlled inventory levels
- Balanced working capital

39. What is MOQ?

Answer: MOQ stands for Minimum Order Quantity.

MOQ defines the minimum quantity that can be procured or ordered from suppliers.

MOQ impacts:

- Inventory planning
- Supply planning
- Vendor sourcing
- Working capital

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40. What is S&OP?

Answer: S&OP stands for Sales & Operations Planning.

S&OP integrates:

- Demand planning
- Supply planning
- Capacity planning
- Inventory planning

into a unified business planning framework.

The Business Plan serves as the basis for S&OP execution.

41. Why do forecast deviations increase NWC?

Answer:

Forecast deviations create mismatch between planned inventory and actual market demand.

When demand is overestimated:

- Excess inventory increases
- Warehouse occupancy increases
- Inventory turnover slows down
- Capital gets locked in stock

When demand is underestimated:

- Emergency procurement and allocation issues occur

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- Open orders increase
- Supply chain costs increase

As a result, inaccurate forecasting increases Net Working Capital (NWC) pressure and reduces operational efficiency.

42. Why is consensus forecasting important?

Answer:

Consensus forecasting ensures alignment between:

- Demand Planning
- Sales
- Go-to-Market (GtM)
- Supply Planning
- Inventory Planning

It creates a single approved forecast used for:

- Supply planning
- Inventory positioning
- Capacity planning
- Distribution planning

Consensus forecasting helps reduce:

- Forecast deviations
- Excess inventory
- Open orders
- Supply-demand mismatch

43. Why are open orders considered operational risk?

Answer:

High open orders indicate that customer demand is not being fulfilled on time.

This may occur due to:

- Stock shortages
- Supplier delays

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- Allocation mismatch
- Forecast inaccuracies
- Capacity constraints

Operational impacts include:

- Reduced CSL
- Customer dissatisfaction
- Supply chain instability
- Increased escalation handling
- Higher operational pressure on planning and allocation teams